

collections have increased in the past couple of years, to reduce taxes. Corporate tax has gone down from 33 to 25 per cent and the tax collection has gone up.

● **VIVEK KUMAR:** I'll probably bring up two points here. One is to normalise fiscal policy. Post COVID-19, we saw various accommodations provided by the government and the RBI. The RBI has now reversed its policy. The repo rate is higher than what it was pre COVID. The little that is left is liquidity, which the RBI is mopping up gradually, and maybe in two quarters, you'll see it becoming completely normalised. As far as the fiscal policy is concerned, you still have a fair amount of deviation. Before COVID, our fiscal deficit rate was in the range of 3.5 to 4 per cent, but we are currently at 6.4 per cent. The market is expecting the finance minister to announce a 50 or 60 basis points fiscal consolidation. So, at best, you'll be at 5.8 or 5.9 per cent, still far from where you were pre COVID. So, there is an element of a higher fiscal balance-sheet support that is continuing. There is a need to get back to that because both monetary and fiscal policies have to be in sync.

The other is to internalise the external risk, as we're staring at a very profound slowdown in the global economy. The World Bank has marked down global GDP growth to 1.7 per cent, with almost recession-like conditions in a few economies. The Euro zone may see zero per cent growth, which is the border line. The country may take a major hit on the exports front. There is a need to address that, because it's a near-term risk and it will weigh upon our GDP growth momentum. Can you at least look at some of the sectors that are most vulnerable to a global demand shock, exchange rate shock, or to an interest rate shock?

"We need a huge upswing on the private sector capital expenditure, and a special focus on the MSME sector as they are the real contributors to industrial growth, export and employment"

AJIT RANADE
Vice-chancellor, Gokhale Institute of Politics and Economics, Pune

Q. How serious is the employment issue? What should the government do to create more jobs?

● **JOSHI:** We don't track unemployment well in this economy; so, first of all, we need a reliable measure of unemployment. It's not very difficult to assess that there is a job problem because the number of people who are coming into the job market is increasing. Our birth rate is falling, but still, over the next 10 years, we'll add about 100 million to the working-age population, which is actually 22 per cent of the global increment in the workforce. So that's a massive increase. At the same time, the economy is becoming less labour absorptive. In order to produce one unit of GDP, you need less people now. So you need to grow much faster if you want to absorb all those people. This is a challenge. The sector that is most labour-absorptive, outside of agriculture, is construction. Although construction is getting modernised, it is still able to absorb semi-skilled and unskilled people in the hinterland and employs as many people as manufacturing.

Second, within manufacturing, we need to focus more on sectors like textiles, where there is still an opportunity to export. Third, within services, there are areas that are very labour-intensive—health, education

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